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The Indian Retirement & Pension Playbook 2026-27

NPS · UPS · EPF & EPS · APY · SCSS · Annuities

How much you need, where to put it, and how to take it out — every rule, limit and rate verified from PFRDA, EPFO, the Department of Financial Services, the Ministry of Finance and the Income Tax Department, October 2026.

Rs.25,000	80%	8.2%	30x
EPF WAGE CEILING	**NPS LUMP SUM**	**SCSS RATE**	**CORPUS TARGET**
Raised from Rs.15,000 on 17 Sep 2026	New non-govt exit limit, Dec 2025	Oct-Dec 2026 quarter	Annual expenses, India rule

A practical, source-checked guide for salaried employees, self-employed professionals, government staff and anyone within 30 years of retiring.

How to use it

A word on accuracy and dates

About this playbook

India's retirement rules changed faster in the last 18 months than in the previous decade. The EPF wage ceiling jumped to Rs.25,000. The National Pension System got a multiple-scheme framework, 100%-equity options and a friendlier exit. The Unified Pension Scheme went live for central government staff. The 8th Pay Commission began reviewing pension benefits. Small-savings rates sat frozen at multi-year highs. Most guides online still describe the system as it was in 2023.

This playbook is written for that gap. It explains what each scheme is, who it actually applies to, what the current numbers are, and how the pieces fit into one retirement plan you can start this month. It is deliberately plain-spoken: no jargon walls, no product-selling, no hype next to a number.

Read Part 1 and Part 2 first — they set the target. Then go straight to the chapters that match your situation: Part 3 if you are salaried (EPF/EPS), Part 4 if you want the full NPS picture, Part 5 for government employees, Part 6 for the unorganised sector, Part 7 for guaranteed-income instruments as you near retirement, and Part 8 for the tax rules. Part 9 assembles everything into age-wise portfolios, a 12-month action plan and a checklist you can tick off.

Every rule, rate, limit and date in this book is taken from an official source — PFRDA circulars and regulations, EPFO notifications, the Department of Financial Services, the Ministry of Labour & Employment, the Ministry of Finance and the Income Tax Department — or from the PIB press release that announced it. All figures are as of October 2026 unless a different date is stated. Rates on small savings and annuities change every quarter, and scheme rules are amended from time to time: always confirm the current figure on the official portal before you act. The full source list is at the back.

Important — please read

This book is educational. It explains government schemes, tax rules and retirement maths in general terms. It is not investment, tax or legal advice, and it does not know your income, goals, health or family situation. Before you commit money — especially to an annuity, a pension product or a withdrawal — speak to a SEBI-registered investment adviser and, for tax, a qualified chartered accountant. Projections in this book are illustrations built on stated assumptions; actual returns, inflation and rules will differ.

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PART 1

The 2026 pension reset

Five changes in eighteen months reshaped how Indians build and draw retirement income. Know them before you plan anything.

Section 1 · The five changes that moved the goalposts

Section 2 · What the reset means for you, by age

1. The five changes in 2026 that moved the goalposts

If you last looked at retirement seriously before 2025, several of your assumptions are now out of date. Five changes matter most.

1.1 The EPF wage ceiling rose to Rs.25,000

On 17 September 2026 the Union Cabinet raised the statutory wage ceiling for mandatory EPFO coverage from Rs.15,000 to Rs.25,000 a month — the first increase since 2014. The government expects this to bring more than 51 lakh additional employees under mandatory Provident Fund, Pension (EPS) and EDLI insurance coverage. Anyone earning between Rs.15,000 and Rs.25,000 who was outside the net is now automatically covered.

Why it matters

If your salary is between Rs.15,000 and Rs.25,000, your take-home pay falls a little from 17 September 2026 — but a matching employer contribution, guaranteed pension membership and life cover now sit in your name. If you earn above Rs.25,000, nothing is forced on you; your contribution stays where your arrangement puts it.

1.2 NPS became genuinely flexible

The National Pension System is no longer one rigid product. PFRDA's Multiple Scheme Framework went live on 1 October 2025, letting pension funds design persona-specific schemes — for corporate employees, the self-employed and platform workers — with high-risk variants that may hold up to 100% equity. A circular dated 28 August 2026 then classified every such scheme into five equity categories (A to E), so you can compare funds by risk at a glance. Earlier, the equity ceiling for eligible subscribers under the standard active-choice framework was 75%.

1.3 NPS exit rules were eased

PFRDA amended the Exits and Withdrawals regulations on 19 December 2025. For non-government subscribers (All Citizen and Corporate), the mandatory annuity share at normal exit fell from 40% to a minimum of 20%, so up to 80% of the corpus can now be taken as a lump sum. The lock-in for the All Citizen model was removed, the vesting period became 15 years or age 60 (whichever is earlier), and the entry and exit age for NPS was raised to 85.

1.4 UPS is live for central government staff

The Unified Pension Scheme took effect on 1 April 2025 as an option within NPS for central government employees. It promises an assured payout of 50% of average basic pay over the last 12 months after 25 years of service, a guaranteed minimum of Rs.10,000 a month after 10 years, dearness-relief indexation and a 60% family pension. The 8th Central Pay Commission, constituted on 3 November 2025, has been asked to review pension and gratuity benefits under both NPS and UPS.

1.5 Small-savings rates stayed high

For the October-December 2026 quarter, the Ministry of Finance left every small-savings rate unchanged — the ninth consecutive quarter of no change. That keeps the Senior Citizens' Savings Scheme at 8.2% and PPF at 7.1%, both well above typical bank fixed-deposit rates. For anyone structuring post-retirement income, that is a real, government-backed return.

2. What the reset means for you, by age

The same five changes land very differently depending on where you are in your career. Here is the short version; the rest of the book fills in the detail.

Your stage	The headline	Where to focus
Under 30	Time is your superpower. A modest SIP compounds into a large corpus.	Start an NPS Tier I account or an equity SIP now. Get EPF/UAN in order. Do not chase guaranteed products yet.
30 to 40	The target corpus is now large; the required SIP is still affordable.	Raise savings with every raise. Use the Rs.50,000 NPS extra deduction if you are on the old tax regime. Review insurance.
40 to 50	You can still reach the target, but only with a step-up plan.	Max out EPF + NPS + PPF. Shift some new money to debt. Build a dedicated health fund.
50 to 60	This is the de-risking decade, not the accumulation decade.	Glide equity down, lock guaranteed income (SCSS at 60), plan the NPS exit and annuity, settle nomination and will.
Already retired	Income certainty beats growth.	Ladder SCSS, POMIS and annuities; keep 2-3 years of expenses liquid; do not take equity risk you cannot wait out.

PART 2

How much you actually need

Before choosing any product, you need a number. This part builds it from your expenses, not your salary.

Section 3 · The 30x rule, and why 25x fails in India

Section 4 · Your target corpus, worked with real numbers

Section 5 · The monthly-investment maths

3. The 30x rule — and why the 25x rule fails in India

The famous 25x rule (save 25 times your annual expenses, withdraw 4% a year) comes from US research built on 2-3% inflation. India's household inflation runs higher, healthcare rises faster still, and there is no universal state pension to fall back on. Applying 25x here tends to underfund a retirement by a wide margin.

For India, a more honest starting point is 30 times your annual expenses at retirement — an initial withdrawal rate of about 3.3%. Some planners go to 33x. The multiplier is not magic; it is a buffer against three specific risks.

- **Inflation.** At 6% a year, today's expenses roughly double in 12 years and rise about 5.7x over 30 years. Your corpus must fund tomorrow's prices, not today's.
- **Healthcare.** Medical inflation in India runs well ahead of general inflation, and health spending climbs sharply after 60. Plan a separate health fund.
- **Longevity.** Retire at 60 and you may need income for 25-30 years. Running out of money at 80 is the risk that matters most.

The rule in one line

Target corpus = (your monthly expenses today, grown at ~6% to your retirement year) x 12 x 30. Everything else in this book is about how to fill that number efficiently.

3.1 The three numbers to write down today

Before any product, get three numbers onto a page. Almost every retirement decision follows from them.

1. **Your monthly expenses today.** Not your salary — what you actually spend, essential and discretionary separately. This is the seed of the whole calculation.
2. **Your years to retirement.** Age 60 minus your current age, unless you plan to stop earlier or later.
3. **What you already hold for retirement.** EPF balance, NPS balance, PPF, and any retirement-earmarked investments. These are subtracted from the target, not counted as income.

With those three, the target from Section 4 is a two-minute calculation. Without them, every product decision is a guess.

4. Your target corpus, worked with real numbers

Two things drive the target: what you spend today, and how many years until you retire. The table below assumes 6% inflation and the 30x multiplier. Read down the rows to find your current monthly spend.

Monthly spend today	Retiring in 20 years	Retiring in 25 years	Retiring in 30 years
Rs.30,000	Rs.3.1 crore	Rs.4.1 crore	Rs.5.5 crore
Rs.50,000	Rs.5.1 crore	Rs.6.9 crore	Rs.9.2 crore
Rs.75,000	Rs.7.7 crore	Rs.10.3 crore	Rs.13.8 crore
Rs.1,00,000	Rs.10.3 crore	Rs.13.8 crore	Rs.18.5 crore
Rs.1,50,000	Rs.15.4 crore	Rs.20.6 crore	Rs.27.7 crore

These numbers look intimidating, and that is the point: the danger is not oversaving, it is the false comfort of a small corpus. The good news is the next section — you do not need to fund the whole figure yourself. EPF, EPS and existing investments do a lot of the work, and 20-30 years of compounding do the rest.

Adjust the target down for what you will already have

The corpus you must build is the target minus the reliable income and assets you will hold at retirement. Subtract:

- Your projected EPF balance (contributions plus interest to retirement).
- The pension your EPS or UPS entitlement will pay, capitalised.
- Any PPF, NPS, mutual-fund or property assets already earmarked for retirement.
- A conservative assumption for a spouse's pension or rental income.

What remains is your funding gap — the only number your monthly savings have to close.

5. The monthly-investment maths: time is the biggest lever

The single most useful fact in retirement planning: starting five years earlier can roughly halve the monthly amount you must invest for the same corpus. The table below targets a corpus of about Rs.8 crore at age 60, assuming 12% annual returns from an equity-heavy portfolio.

You start at age	Years to grow	Monthly investment needed
25	35	about Rs.15,000
30	30	about Rs.28,000
35	25	about Rs.48,000
40	20	about Rs.82,000
45	15	about Rs.1,52,000

Note what the table is not saying. It is not a promise of 12% — that is an assumption you must test against your own risk appetite. It is not saying you must invest the full amount from day one. And it is not a reason to take reckless risk late; the same maths that rewards time punishes a bad last decade.

The step-up trick

You rarely need to start at the full number. A step-up SIP that rises 10% a year — roughly in line with a normal salary increase — lets a 30-year-old begin at about Rs.9,000 a month instead of Rs.28,000 and still reach the same target. The habit matters more than the opening amount.

5.1 A worked example from age 32

Numbers make the method concrete. Meet ‘Priya’, 32, who spends Rs.60,000 a month and plans to retire at 60 — 28 years away. Every assumption below is stated so you can swap in your own.

Step	Working	Result
1. Expenses at 60	Rs.60,000 grown at 6% for 28 years	about Rs.3,07,000/month
2. Annual expenses at 60	Rs.3,07,000 x 12	about Rs.36.8 lakh
3. Target corpus	Rs.36.8 lakh x 30 (the 30x rule)	about Rs.11.0 crore
4. Assets she will hold	Rs.15 lakh today growing at 10% for 28 years	about Rs.2.2 crore
5. Funding gap	Target minus existing assets	about Rs.8.8 crore
6. Monthly investment	Gap funded by a 12% equity SIP over 28 years	about Rs.32,000/month
7. With a 10% step-up	Start lower, rise 10% a year	start near Rs.11,000/month

Read the last two rows together. The flat SIP looks daunting; the step-up version starts at a third of it because the annual increase does most of the work as her salary grows. This is the single most useful lever for anyone starting in their thirties: automate a step-up, not a fixed number.

What the example is not saying

The 6% inflation, 10% existing-asset growth and 12% SIP return are assumptions, not promises. Change any one and the answer moves. The method — project expenses, multiply by 30, subtract what you will already have, then solve for the monthly amount — is what matters, and it works at any age with your own numbers.

PART 3

EPF and EPS: your default retirement money

For most salaried Indians, the Employees' Provident Fund is the largest single retirement asset — and the least understood. This part decodes it.

Section 6 · How EPF works

Section 7 · The Rs.25,000 wage ceiling

Section 8 · EPS pension: formula, floor and the Rs.15,000 nuance

Section 9 · Higher pension and the 2026 court rulings

Section 10 · EDLI cover and EPF withdrawals

6. How EPF works

The Employees' Provident Fund is a mandatory, employer-linked retirement savings scheme for establishments with 20 or more employees. Every month, you and your employer each contribute a share of your eligible wages, and the fund earns compounded interest.

Who pays	Share of wages	Where it goes
Employee	12%	Entirely to your EPF account
Employer	12%	8.33% to EPS (pension), 3.67% to EPF
Central Government	1.16%	To the EPS pension fund, on wages up to Rs.15,000

Your EPF balance earns a rate notified annually by the government (recently in the 8%+ range). Withdrawals before five years of continuous service can attract tax; after five years, EPF enjoys exempt-exempt-exempt treatment. You can check your balance and passbook any time on the EPFO member portal or UMANG app using your UAN.

Two accounts to know

Your EPF (provident fund) account is the savings pot you can withdraw in defined situations. Your EPS (pension) membership is separate: it does not build a visible balance, and instead earns you a monthly pension at 58 if you have the required service. Do not confuse the two.

7. The Rs.25,000 wage ceiling — who is newly covered

The statutory wage ceiling is the salary limit up to which EPFO membership is mandatory. It sat at Rs.15,000 from September 2014 until 17 September 2026, when it was raised to Rs.25,000 a month.

If your monthly wages are...	Your position from 17 Sep 2026
Rs.25,000 or less	EPF, EPS and EDLI membership is mandatory. You and your employer must contribute.

If your monthly wages are...	Your position from 17 Sep 2026
Between Rs.15,000 and Rs.25,000	You are newly covered if you were outside the net before. Your employer must enrol you.
More than Rs.25,000	Coverage is not mandatory. If you are not already an EPS member, EPS contributions are not deducted; EPF on higher wages depends on your arrangement.

One careful point, often reported wrongly: the ceiling that rose to Rs.25,000 is the threshold for mandatory coverage and contributions. The Central Government's own contribution to the EPS pension fund stays capped at wages of Rs.15,000 (1.16%, or about Rs.174 a month). A separate notification on 15 October 2026 confirmed this. So the change widens who is covered; it does not automatically raise every pension.

8. EPS pension: the formula, the floor, and the Rs.15,000 nuance

Your pension under the Employees' Pension Scheme is a defined-benefit formula, not a pot you withdraw. On superannuation (typically 58), it is calculated as:

EPS monthly pension

Pension = (Pensionable Salary x Pensionable Service) / 70

- **Pensionable salary** is the average monthly pay over the last 60 months before exit, subject to the applicable wage ceiling.
- **Pensionable service** is your contributory service. If it is 20 years or more, two years of weightage are added.
- **The floor.** If the formula gives less than Rs.1,000 a month, a minimum pension of Rs.1,000 is paid with government budgetary support.
- **Pro-rata.** Service is split at 1 September 2014, with the pensionable salary capped at Rs.6,500 up to that date and Rs.15,000 after it.

For higher earners, the effect is stark: because the pensionable salary is capped, the pension does not track a senior salary. That is the reason the higher-pension option exists — and why it has been litigated for a decade.

8.1 EPS worked examples

Because the pensionable salary is capped, the pension does not track a rising career. The table shows what the formula produces at the ceiling, and what a higher-pension option can add.

Service	Pension at Rs.15,000 salary	Pension at Rs.25,000 salary
10 years	about Rs.2,143/month	about Rs.3,571/month
20 years (+2 weightage)	about Rs.4,714/month	about Rs.7,857/month
30 years	about Rs.6,428/month	about Rs.10,714/month

Two lessons. First, longer service matters as much as salary, because the divisor is fixed at 70. Second, if you are a high earner, the ceiling is what shrinks your pension — which is exactly why the higher-pension joint option in Section 9 is worth examining. Figures are illustrative and exclude weightage variations and pro-rata rules.

9. Higher pension: the joint option and the 2026 court rulings

Under EPS, an eligible employee can, jointly with the employer, opt to have the employer's 8.33% contribution computed on actual (higher) wages rather than the statutory ceiling. This 'joint option' is the route to a materially higher pension. It has been the subject of sustained litigation.

In November 2022 the Supreme Court (EPFO v. Sunil Kumar B.) upheld the 2014 EPS amendments but ruled that employees who had contributed on higher wages could not be denied the option merely because of a cut-off date, and directed EPFO to process such joint options. EPFO opened an online facility, but many applications were rejected — often on the ground that an exempted establishment's PF-trust rules did not permit higher contributions.

Where the courts have now landed

- On 19 October 2026 the Bombay High Court set aside EPFO's rejection of higher-pension joint options filed by more than 40 private-sector employees, holding that PF-trust rules cannot be used as the sole ground to reject an otherwise eligible joint option. EPFO was directed to process the applications within eight weeks.
- The Punjab and Haryana High Court quashed EPFO's pro-rata methodology for higher-wage cases, directing that pensionable salary be averaged over the 60 months before exit without bifurcating the service period.
- EPFO has told Parliament it is implementing the Supreme Court's 2022 directions in a time-bound manner and uniformly across exempted and un-exempted establishments.

What this means practically

If you contributed to PF on actual wages above the ceiling and a joint option was rejected on a technical ground, the recent rulings are in your favour — but a judgment does not automatically credit your account. You still have to submit (or re-submit) the joint option with your employer and pursue it through the EPFO process. Given the volume of cases, many employers and employees use an EPFO-experienced professional to file.

10. EDLI life cover and EPF withdrawals

Two features of the EPFO family are easy to miss.

EDLI — free life insurance while you are a member

The Employees' Deposit Linked Insurance Scheme pays a lump sum to your nominee if you die while in service. The maximum assurance benefit is Rs.7,00,000. There is no extra contribution from you; your employer pays it. The benefit is linked to your average EPF balance in the 12 months before death, so keeping your nomination current matters. File e-nomination on the member portal.

When you can take money out of EPF

- **At retirement (58):** the full balance, tax-free after five years of service.
- **Before retirement:** partial advances are allowed for defined needs — housing, medical treatment, education or marriage of children, and certain other purposes — each with its own eligibility.
- **Unemployment:** limited withdrawal is permitted after a specified period without work.
- **Resignation / job change:** you can transfer the balance to the new employer using your UAN rather than withdrawing it — which protects the compounding and the five-year clock.

Do this once

Log in to the EPFO member portal, confirm your KYC is complete, and file or update your e-nomination. It takes ten minutes and protects both your family's EDLI claim and your own access to the balance.

PART 4

NPS in full

The National Pension System is the most flexible, lowest-cost retirement product available to any Indian citizen. Here is the complete picture after the 2026 reforms.

Section 11 · What NPS is: Tier I and Tier II

Section 12 · Opening and running an NPS account

Section 13 · Investment choices: Active, Auto and A-E categories

Section 14 · What NPS costs

Section 15 · Partial withdrawal: the four rules

Section 16 · Exit: the complete rule table

11. What NPS is: Tier I and Tier II

NPS is a voluntary, market-linked pension scheme regulated by PFRDA (set up by an Act of Parliament in 2013). Any Indian citizen — resident, NRI or OCI — aged 18 to 85 can join. It is one of the lowest-cost retirement products in the world. Your money is invested across equity, corporate bonds and government securities by a pension fund you choose.

Feature	Tier I (pension account)	Tier II (add-on account)
Purpose	Retirement — the default account	Optional savings alongside Tier I
Minimum to open	Rs.500	Rs.250 (needs an active Tier I)
Minimum per year	Rs.1,000	No annual minimum
Withdrawals	Only as per exit rules	Unrestricted
Tax benefits	Yes — at entry, growth and exit	None on contribution or gains

Think of Tier I as the locked retirement account and Tier II as a flexible top-up you can use for medium-term goals. The tax benefits — and the withdrawal restrictions — attach to Tier I. There is also a dedicated scheme for minors, NPS Vatsalya, which a parent or guardian can open.

12. Opening and running an NPS account

You can open an NPS account in minutes, online or offline.

1. Go to the eNPS portal of a Central Recordkeeping Agency, or use a Point of Presence (PoP) — often a bank.
2. Complete KYC with your PAN, address proof and a photograph (Aadhaar and DigiLocker are accepted online).
3. Choose Tier I, and Tier II if you want it.
4. Make the first contribution; your Permanent Retirement Account Number (PRAN) is issued.

5. Pick your pension fund and your investment option (see Section 13).
6. Set up a standing instruction so contributions continue automatically.

Your PRAN stays with you for life and travels across jobs, cities and pension funds. You can change your fund, your asset allocation and your contribution amount — though PFRDA limits how often some changes can be made.

PRAN for NRIs and OCIs

NRIs and Overseas Citizens of India can open an NPS account. An NRI needs a PAN, Indian passport, Indian address proof and an NRE/NRO bank account; an OCI needs a PAN, OCI card, foreign address proof and an NRE/NRO account. HUFs and Persons of Indian Origin are not eligible.

13. Investment choices: Active, Auto and the new A-E categories

Under the standard framework, you choose how your contributions are split between asset classes. Under Active Choice you decide the mix yourself, within limits (historically up to 75% in equity for eligible subscribers). Under Auto Choice the mix shifts automatically with your age, cutting equity as you near 60.

The Multiple Scheme Framework, live since 1 October 2025, adds a second layer: pension funds can now offer persona-based schemes with high-risk variants holding up to 100% equity. A PFRDA circular dated 28 August 2026 classified these into five equity bands so you can compare them.

Category	Equity range	Risk label
A	80-100%	Aggressive growth, very high risk
B	60-80%	High growth, high risk
C	35-60%	Balanced growth, medium risk
D	10-35%	Conservative
E	0-10%	Debt-oriented

A scheme must fit entirely within one category — it cannot straddle two. The practical upshot for you: if you are young and comfortable with volatility, NPS can now hold an equity-heavy portfolio close to what a mutual fund offers, at a much lower cost. If you are near retirement, the debt-oriented categories do the de-risking for you.

Risk, honestly stated

Higher equity means a higher chance of a bigger corpus — and a higher chance of a painful drawdown. India has not seen a deep, extended equity correction since 2020, so many investors overestimate their tolerance. A 100% equity NPS portfolio can fall sharply and stay down for years. Match the category to your temperament, not to last year's returns.

13.1 Choosing a pension fund

Once you have picked your equity category, you still have to pick a pension fund. PFRDA regulates every fund, all operate under the NPS Trust, and all are subject to the same 0.30%

cost cap — so the differences are narrower than in mutual funds.

- **Compare like with like.** A fund's return only means something against its own category and benchmark. A 100%-equity scheme and a debt scheme are not comparable.
- **Look at consistency, not last year.** A fund that tracks its benchmark steadily over five years is usually a safer choice than one that topped a single year.
- **Check the category label.** The A-E classification (Section 13) tells you the equity band at a glance; pick the band that matches your risk appetite, not the one with the best recent number.
- **You are not locked in.** You can switch funds, subject to PFRDA's frequency rules. A yearly review is plenty; churning funds is a cost with no benefit.

If you have no strong view, the default or auto-choice option that de-risks with age is a perfectly sound starting point. Many subscribers are better served by a boring, age-appropriate default than by a fund they second-guess every quarter.

13.2 NPS Vatsalya for children

NPS Vatsalya lets a parent or guardian open an NPS account for a minor. Contributions build a long-term retirement corpus for the child, and the account converts to a regular NPS account when the child turns 18. Because the horizon is decades, the cost advantage of NPS compounds unusually well here. Contributions to a minor's NPS Vatsalya account are eligible for the additional deduction under the NPS provisions of the Income Tax Act, within the prescribed limits.

> **A word of caution**
> Money in NPS is locked for retirement. For a child, weigh NPS Vatsalya against flexible options such as a Sukanya Samriddhi account (for a girl child) or equity mutual funds, which can be used for education or marriage. NPS Vatsalya is best for money you genuinely intend to stay invested until retirement.

14. What NPS costs

Cost is where NPS quietly wins. Under the Multiple Scheme Framework, total charges are capped at 0.30% of assets under management a year, with an additional 0.10% incentive allowed for a pension fund that brings in mostly new subscribers. Custodian, CRA and NPS Trust charges sit on top but are small.

From 1 October 2026, a one-time onboarding charge of Rs.200 applies when you register through a Point of Presence; it is recovered at Rs.50 a quarter by cancelling units, not as a single deduction. Compared with a typical actively managed mutual fund charging 1.5-2% a year, that difference compounds into a meaningful sum over 25-30 years.

15. Partial withdrawal: the four rules

You do not always have to wait until 60. NPS allows partial withdrawal from Tier I in defined situations, within limits set by the December 2025 amendment.

- **When:** after three years of subscription (with a minimum contribution record).

- **How much:** up to 25% of your own contributions.
- **For what:** medical treatment or hospitalisation for you, your spouse, children or parents; higher education or marriage of your children; buying or building a first home; and a newly added purpose — settling a financial obligation taken against a lien on the NPS account.
- **How often:** four times before age 60, with at least four years between withdrawals; after 60, every three years with no cap on the number.

Partial withdrawals are tax-exempt up to 25% of your own contributions. Note that the earlier purposes of skill development and starting a venture were removed in the 2025 amendment.

16. Exit: the complete rule table

At exit, the rules decide how much you can take as a lump sum and how much must go into an annuity. The December 2025 amendment eased the non-government rules substantially. The table below is the current position for All Citizen and Corporate subscribers.

Exit type	Lump sum allowed	Annuity required
Normal exit (age 60, or 15 years, whichever is earlier)	Up to 80%	At least 20%
Corpus up to Rs.8 lakh (normal)	100% permitted	None
Corpus Rs.8-12 lakh (normal)	Up to Rs.6 lakh, balance via SUR or annuity	Or at least 20%
Premature exit (before 60 / 15 years)	Up to 20%	At least 80%
Corpus up to Rs.5 lakh (premature)	100% permitted	None
Death	100% to nominee, or annuity if chosen	Optional

Government-sector subscribers keep the older, stricter normal-exit rule: up to 60% lump sum and at least 40% annuity. Two more points: the entry and exit age for NPS was raised to 85, and the 15-day prior-intimation requirement for continuing past 60 was removed, so your account now continues automatically if you take no action.

SUR and SLW — the new payout options

Instead of taking your lump sum in one go, you can now use Systematic Lump Sum Withdrawal (a fixed amount at intervals) or Systematic Unit Redemption (a fixed number of units at intervals), with the balance staying invested and earning returns. For a large corpus, a systematic payout can stretch your money and reduce the tax hit in any single year.

PART 5

UPS: the government employee's choice

If you joined central government service on or after 1 January 2004, you have a decision that private-sector workers do not: NPS or UPS.

Section 17 · UPS explained, and NPS vs UPS

17. UPS explained, and NPS vs UPS

The Unified Pension Scheme is not a replacement for NPS. It is an option within NPS, available to central government employees covered by NPS, effective 1 April 2025. It trades the upside of market-linked returns for the certainty of an assured pension.

What UPS promises

- **Assured payout:** 50% of your average basic pay over the last 12 months, after 25 years of qualifying service, reduced proportionately for shorter service.
- **Minimum floor:** Rs.10,000 a month guaranteed after at least 10 years of service.
- **Family pension:** 60% of the pension to your spouse after your death.
- **Inflation indexation:** Dearness Relief on the assured and family pension, on the same basis as DA for serving employees.
- **Lump sum:** one-tenth of monthly emoluments (basic pay + DA) for every completed six months of service, in addition to gratuity, without reducing the pension.

How the contributions differ

Under UPS, you contribute 10% of basic pay plus DA, the government matches 10% into your individual corpus, and the government adds a further estimated 8.5% to a separate pool corpus that backs the guarantee — a total contribution of about 28.5% against 24% under NPS. Under NPS, the government contributes 14% directly to your individual account, with no guaranteed payout.

	NPS (government sector)	UPS
Pension type	Market-linked, no guarantee	Assured, subject to conditions
Employee contribution	10% of basic + DA	10% of basic + DA
Government contribution	14% to your account	10% to your account + 8.5% to pool
Assured minimum	None	Rs.10,000/month after 10 years
Dearness Relief	No	Yes
Full benefit at	Corpus-dependent	25 years' service

Who this actually applies to

UPS is only for central government employees who are covered by NPS; state employees can get it only if their state adopts it. Private-sector employees, the self-employed and NRIs cannot access UPS at all — for them the comparison is NPS versus other retirement products, not NPS versus UPS. The window to opt for UPS closed on 30 November 2025, with a one-time switch back to NPS allowed.

PART 6

APY: a guaranteed floor for the unorganised sector

Atal Pension Yojana is the one pension product that guarantees a fixed amount, backed by the Central Government — designed for workers without a formal pension.

Section 18 · Atal Pension Yojana explained

18. Atal Pension Yojana explained, with the full contribution table

APY is administered by PFRDA under the NPS architecture and implemented through banks and post offices. You contribute a small amount every month, and from age 60 the government guarantees you a fixed monthly pension for life, then to your spouse, and finally returns the accumulated wealth to your nominee.

- **Eligibility:** any Indian citizen aged 18 to 40 with a savings bank or post office account. From 1 October 2022, anyone who is or has been an income-tax payer cannot join.
- **Pension options:** Rs.1,000, Rs.2,000, Rs.3,000, Rs.4,000 or Rs.5,000 a month.
- **Contribution frequency:** monthly, quarterly or half-yearly, by auto-debit.
- **Guarantee:** the pension, the spouse's pension and the return of wealth are all guaranteed by the Government of India.

Your contribution depends on the age at which you join and the pension you choose. The earlier you join, the lower the monthly amount — joining at 18 for a Rs.1,000 pension costs just Rs.42 a month; joining at 40 costs Rs.291.

Join age	Yrs to 60	Rs.1,000	Rs.2,000	Rs.3,000	Rs.4,000	Rs.5,000
18	42	42	84	126	168	210
20	40	50	100	150	198	248
25	35	76	151	226	301	376
30	30	116	231	347	462	577
35	25	181	362	543	722	902
40	20	291	582	873	1,164	1,454

Figures are monthly contributions in rupees. You can upgrade or downgrade your chosen pension once a year. If the subscriber dies before 60, the spouse can continue the account and receive the pension. APY contributions qualify for deduction under the NPS provisions of the Income Tax Act.

The honest limitation

APY is a safety net, not a retirement plan on its own. Even the maximum Rs.5,000-a-month pension is modest against a 30x target. Use APY as the guaranteed floor of a larger plan that also includes NPS, EPF, PPF or mutual funds — not as the whole answer.

PART 7

The senior's income toolkit

As retirement approaches, the question shifts from building a corpus to turning it into reliable income. These are the government-backed and guaranteed instruments.

Section 19 · Senior Citizens' Savings Scheme (SCSS)

Section 20 · POMIS, NSC, KVP and PPF

Section 21 · Annuities

Section 22 · PMVVY: why it is not an option

19. Senior Citizens' Savings Scheme (SCSS)

SCSS is the first product most retirees should consider: a government-backed deposit that pays the highest rate in the small-savings basket and pays interest every quarter.

Feature	Current position (Oct-Dec 2026)
Interest rate	8.2% a year, paid quarterly
Eligibility	Residents aged 60+; retired civilians aged 55-60; retired defence personnel aged 50-60 (within one month of receiving retirement benefits)
Deposit limits	Minimum Rs.1,000; maximum Rs.30 lakh per person
Tenure	5 years, extendable in further 3-year blocks
Tax	Deposit qualifies under Section 80C; interest is fully taxable; TDS threshold Rs.1 lakh for seniors
Account type	Individual, or joint with spouse only. NRIs and HUFs are not eligible.
Premature closure	Before 1 year: interest already paid is recovered; 1-2 years: 1.5% deduction; after 2 years: 1% deduction

Because the ceiling is per person and a joint account counts entirely against the first holder, a couple can hold up to Rs.60 lakh between two separate accounts. The rate is locked at the level on the date you open the account, so a later revision does not change your return. At Rs.30 lakh, 8.2% works out to Rs.61,500 a quarter — a monthly equivalent of about Rs.20,500.

A couple's structure

A common approach: each spouse opens a separate SCSS account up to Rs.30 lakh for quarterly income, and layers the Post Office Monthly Income Scheme on top for a monthly cash flow. This spreads guaranteed income across two people and two payout cycles.

20. POMIS, NSC, KVP and PPF

Alongside SCSS, the small-savings basket offers several other government-backed instruments. Rates below are for the October-December 2026 quarter.

Scheme	Rate	Tenure	Best for
Post Office Monthly Income Scheme	7.4%	5 years	Monthly income (max Rs.9 lakh single / Rs.15 lakh joint)
National Savings Certificate	7.7%	5 years	A safe 5-year lump sum; 80C eligible
Kisan Vikas Patra	7.5%	Matures in 115 months	Doubling money, no income need
Public Provident Fund	7.1%	15 years	Long-term tax-free compounding; 80C eligible
Sukanya Samriddhi Yojana	8.2%	21 years	A girl child's education or marriage fund

PPF remains a strong long-term, tax-free compounder with a Rs.1.5 lakh annual limit and a 15-year term, extendable in blocks. POMIS is the go-to for a steady monthly cheque in retirement. None of these rates has changed for nine straight quarters, which is itself useful information: the government has chosen continuity even as bond yields moved.

21. Annuities: how they work and what they pay

An annuity is the product that turns a lump sum into a guaranteed income for life. You pay an insurer a one-time purchase price, and it pays you a pension at a chosen frequency, for as long as the contract says. In NPS, part of your corpus must go into an annuity; outside NPS, you can buy one voluntarily.

The main types

- **Annuity for Life:** highest income, but payments stop on your death and nothing is returned.
- **Life with Return of Purchase Price:** a slightly lower income, but your nominee gets the original capital back on death.
- **Joint Life:** income continues to your spouse after your death — usually with a return-of-purchase-price variant for maximum security.
- **NPS Family Income:** income flows to you, then your spouse, then your dependent parents, with the capital returned to your heirs.

What annuities actually pay

Rates are set by each insurer and change with the market. In 2026, PFRDA-empanelled providers (there are 15) have quoted roughly 5.4% to 7% a year depending on the provider, the plan type and whether the purchase price is returned. Because each insurer prices differently, the same corpus can produce a noticeably different pension — comparing quotes is worth real money.

Purchase price	At 5% a year	At 6% a year	At 7% a year
Rs.10 lakh	Rs.4,167/month	Rs.5,000/month	Rs.5,833/month
Rs.25 lakh	Rs.10,417/month	Rs.12,500/month	Rs.14,583/month
Rs.50 lakh	Rs.20,833/month	Rs.25,000/month	Rs.29,167/month

The trade-off to accept

An annuity buys certainty and sells flexibility. Once bought, the rate is locked and the capital is largely committed. Annuity income is taxable in the year received. Buy only what you need for essential monthly expenses, and keep the rest liquid or invested for emergencies and growth.

21.1 Building your health fund

Every retirement plan has a hole in it if health is not separately funded. Even good health insurance leaves co-payments, non-covered treatments, diagnostics and long-term care, and medical costs rise faster than general inflation — employer medical plan costs in India were projected to rise by about 11.5% in 2026, well above consumer inflation.

- **Insurance first.** Hold at least Rs.10 lakh of health cover, ideally more as you age. Continuity matters: do not let a policy lapse, and disclose pre-existing conditions honestly.
- **A dedicated fund on top.** Aim to build Rs.20-50 lakh over time, kept in liquid or short-duration debt, and used only for medical shocks.
- **Know the senior safety net.** Ayushman Bharat (AB PM-JAY) was expanded to cover all citizens aged 70 and above, irrespective of income, giving Rs.5 lakh a year of cashless hospital care in public and empanelled private hospitals. If you or your parents are 70-plus, confirm enrolment and get the distinct card.
- **Do not confuse insurance with a fund.** Insurance pays the hospital; the fund covers everything insurance does not.

A health fund is not glamorous, and it is the single most common omission in retirement plans. Treat it as a line item alongside the corpus, not as an afterthought.

22. PMVVY: why it is not an option

The Pradhan Mantri Vaya Vandana Yojana — a government-subsidised pension scheme for senior citizens run through LIC — is frequently recommended in older articles. It is no longer available: LIC withdrew the scheme on 31 March 2023 and it is closed to new subscriptions. Existing policyholders continue to receive their benefits, but nobody can buy a new policy today. If a website still offers to sell you PMVVY, treat it with suspicion.

For the guaranteed-income need PMVVY used to fill, the current options are SCSS at 8.2%, the Post Office Monthly Income Scheme at 7.4%, and a PFRDA-empanelled annuity — all covered above.

PART 8

Tax on retirement money

Retirement money is taxed at three moments: when you put it in, when it grows, and when you take it out. The rules changed with the Income Tax Act, 2025.

Section 23 · Deductions at entry

Section 24 · Tax at exit and the annuity wrinkle

Section 25 · Tax on EPF, EPS, APY and SCSS

23. Deductions at entry: the new section numbers

From tax year 2026-27, the Income Tax Act, 2025 governs. The deduction sections were renumbered — old Section 80C is now Section 123, and old 80CCD is now Section 124 — but the limits are substantially unchanged. This matters because many online guides still use the old numbers.

What you contribute	New section	Limit	Available under
Your own NPS / APY (within the 80C basket)	Section 123	Rs.1,50,000 combined	Old regime
Extra NPS top-up	Section 124(3)	Rs.50,000 over and above	Old regime only
Employer's NPS contribution	Section 124(1) / 124(2)	10% of salary (private, old regime); 14% (new regime and govt)	Both regimes
PPF, ELSS, life insurance, etc.	Section 123	Within the same Rs.1.5 lakh	Old regime

The single most useful point: the extra Rs.50,000 NPS deduction under Section 124(3) is available only if you are on the old tax regime. Under the new regime it does not exist — but the employer's NPS contribution remains deductible up to 14% of salary, for private-sector employees too. There is also an aggregate annual cap of Rs.7.5 lakh on employer contributions to NPS, recognised PF and superannuation taken together; anything above that becomes a taxable perquisite.

24. Tax at exit and the annuity tax wrinkle

NPS enjoys exempt-exempt-exempt treatment for most of the corpus — but not all of it, and the December 2025 exit change created a wrinkle you should know before you withdraw.

- **Lump sum:** up to 60% of the corpus received at exit is exempt from tax.
- **Annuity:** the amount used to buy an annuity is not taxed at the point of transfer; tax begins only when the annuity pays.

- **Annuity income:** every monthly pension from the annuity is taxable in the year received, and is treated as salary — which means the standard deduction can apply.
- **Partial withdrawals:** exempt up to 25% of your own contributions.
- **Death benefit:** the lump sum received by a nominee is not taxed as the nominee's income.

The 80% / 60% gap

PFRDA now lets non-government subscribers withdraw up to 80% as a lump sum, but the income-tax exemption still covers only 60%. The additional 20% may be taxable at your slab rate unless the tax rules are aligned with the new exit limits. If you plan to withdraw more than 60%, get the current tax position confirmed before you do it — this is exactly the kind of question a chartered accountant should answer for your numbers.

25. Tax on EPF, EPS, APY and SCSS

Each retirement pot has its own tax character. Here is the map.

Source	Contribution	Growth	Withdrawal
EPF (after 5 yrs service)	Deductible (old regime)	Tax-free	Tax-free
EPS pension	Employer-funded	—	Taxable as salary
NPS Tier I	Deductible (limits above)	Tax-free	60% lump sum exempt; annuity taxed on receipt
APY	Deductible under NPS sections	—	Pension taxable on receipt
SCSS	80C eligible	—	Interest fully taxable
PPF	80C eligible	Tax-free	Tax-free

A note on EPF taxation: interest on your own contributions above a threshold (currently Rs.2.5 lakh of contributions a year; Rs.5 lakh where the government contributes) is taxable. For the vast majority of members, EPF remains fully tax-free.

PART 9

Putting it together

Rules and rates only matter once they become a plan. This part turns everything above into portfolios, an action plan and a checklist.

Section 26 · Model portfolios by age

Section 27 · A 12-month action plan

Section 28 · Nine mistakes that cost lakhs

Section 29 · Questions people ask most

26. Model portfolios by age

These are illustrative allocations, not recommendations. The principle behind them is simple: equity for growth while you have time, guaranteed income as you approach retirement, and always a liquid buffer.

Age band	Equity	Debt / guaranteed	The logic
25-35	70-80%	20-30%	Maximum time, maximum growth. EPF + NPS equity + equity SIPs.
35-45	60-70%	30-40%	Still growth-led, but start building guaranteed ballast (PPF, NPS debt).
45-55	45-60%	40-55%	Glide down. Add SCSS/POMIS planning, keep a health fund.
55-60	30-40%	60-70%	Protect what you have built. Ladder guaranteed income.
Retired	20-30%	70-80%	Income certainty first. Keep 2-3 years of expenses liquid.

The equity share at retirement is deliberately not zero. With a 25-30 year retirement, a small equity allocation helps the corpus outpace inflation. But the core of a retiree's portfolio should be instruments that pay a predictable amount — SCSS, POMIS, annuities and short-duration debt.

26.1 Rebalancing: how and when

A portfolio drifts. In a good equity year, the equity share creeps above your target, and the risk you thought you had is quietly larger. Rebalancing brings it back — and it is the simplest discipline in investing.

- **Pick a trigger.** Either a calendar rule (once a year, on a fixed date) or a band rule (when any asset class drifts more than 5 percentage points from target). The calendar rule is easier to keep.
- **Rebalance with new money first.** Direct fresh contributions to the underweight asset before selling anything, to avoid tax and cost.

- **Do it inside tax-sheltered accounts where you can.** NPS allows asset-allocation changes subject to PFRDA's frequency rules; use them rather than churning a taxable account.
- **Do not confuse rebalancing with reacting.** A rule set in calm times, followed mechanically, beats a decision made in a panic.

Rebalancing is also a gentle way to take profit without predicting markets: you trim what has run up and add to what has lagged, every year, without a view.

27. A 12-month action plan

You do not have to fix your retirement in a weekend. Do it in one focused pass, then review once a year.

1. **Month 1 — Get the numbers.** Write down your monthly expenses, your current EPF balance (member portal), your NPS balance and any other retirement assets.
2. **Month 2 — Set the target.** Use Section 4 to compute your corpus and your funding gap. Do not skip this; the gap is your only real target.
3. **Month 3 — Fix the basics.** Confirm UAN and KYC, file e-nomination for EPF, and check that your employer is depositing contributions.
4. **Month 4 — Open or review NPS.** If you have none, open Tier I and choose a pension fund and category. If you have one, review the fund and the equity category.
5. **Month 5 — Start or raise the SIP.** Choose a step-up SIP that rises with your salary. Automate it on the day after payday.
6. **Month 6 — Protect the plan.** Review term life cover (10-15x annual income) and health cover (at least Rs.10 lakh, ideally more). A hospital bill can destroy a retirement.
7. **Month 7 — Tidy the tax.** Decide your regime, and if you are on the old regime, use the Rs.50,000 NPS extra deduction.
8. **Month 8 — Build the emergency fund.** Six months of expenses in a liquid or sweep-in account, before any aggressive investing.
9. **Month 9 — Add a health fund.** Earmark Rs.20-50 lakh over time for late-life medical costs, over and above insurance.
10. **Month 10 — Check the exit plan.** Understand your NPS exit rules, EPS entitlement and, if applicable, the higher-pension joint option.
11. **Month 11 — Write it down.** Draft or update your will; confirm nominations on every account match your intentions.
12. **Month 12 — Review and repeat.** Re-run the numbers, rebalance back to target, and note the changes for next year.

28. Nine mistakes that cost lakhs

- **Planning from salary, not expenses.** Your target is driven by what you will spend, not what you earn today.
- **Using the 25x rule in India.** Higher inflation and no state pension mean 30x is the more honest starting point.

- **Starting late.** Five years' delay can roughly double the monthly amount you must invest.
- **Withdrawing EPF on every job change.** Transferring it instead preserves the compounding and the five-year tax clock.
- **Ignoring the Rs.50,000 NPS deduction.** If you are on the old regime and in the 30% slab, that is real, repeated tax saved.
- **No separate health fund.** Even good insurance leaves co-pays and non-covered costs; medical inflation is unforgiving.
- **Leaving nominations stale.** A claim delayed or misdirected is a claim denied.
- **Chasing returns late in life.** A sharp fall in the five years before retirement is the most expensive risk you can take.
- **Taking a 100% equity NPS portfolio without the stomach for it.** The new high-risk categories are not right for everyone.

29. Questions people ask most

Can I have both EPF and NPS?

Yes. They are separate schemes and many salaried employees hold both. EPF is mandatory for covered establishments; NPS is voluntary and can be an all-citizen or corporate account.

Is NPS better than a mutual fund SIP?

Not 'better' — different. NPS is cheaper and locks the money for retirement with a tax benefit at entry (old regime). A mutual fund is more flexible and has no annuitisation requirement. Many people use both: NPS for the locked, tax-advantaged core, mutual funds for flexibility.

I am in the new tax regime. Is NPS still worth it?

The extra Rs.50,000 deduction is gone under the new regime, so NPS becomes a product decision rather than a tax decision. It can still make sense for its low cost and the discipline of a locked pension — but contribute for the product, not for a deduction you will not get.

How much of my NPS corpus must I put into an annuity?

For non-government subscribers, at least 20% at normal exit; for government subscribers, at least 40%. If your corpus is Rs.8 lakh or less, you can take the whole amount as a lump sum.

What happens to my NPS if I die before 60?

Your nominee or legal heir can withdraw the entire accumulated wealth as a lump sum, or use it to buy an annuity. The death benefit lump sum is not taxed as the nominee's income.

Can I withdraw EPF before retirement?

Yes, for defined purposes such as housing, medical treatment, education or marriage of children, within the rules. Withdrawing simply because you changed jobs is usually a mistake — transfer it instead.

Is SCSS the best place for retirement money?

For a guaranteed quarterly income at a high, government-backed rate, it is one of the best. But the Rs.30 lakh per-person cap and the fact that interest is fully taxable mean it is part of a structure, not the whole plan.

Should I opt for a higher EPS pension?

It can raise your pension significantly, but it requires a joint option with your employer and usually a higher contribution. The 2026 court rulings have strengthened the position of eligible employees whose options were wrongly rejected. Assess your eligibility and service history carefully, ideally with professional help.

When should I buy an annuity?

When you need guaranteed income for essential expenses and can accept locking the capital. Compare quotes across providers on the same day, and consider annuitising only the portion you need.

PART 10

Special situations and the last mile

The rules are the same for everyone; the plan is not. These chapters handle the cases the standard playbook misses — and the paperwork that makes it all work.

Section 30 · Retirement for the self-employed and freelancers

Section 31 · The five years before you retire

Section 32 · Sequence-of-returns risk

Section 33 · Closing the women’s retirement gap

Section 34 · Nomination, will and the paperwork

30. Retirement for the self-employed and freelancers

If you have no employer, you have no EPF, no employer match and no EPS pension. Nothing is automatic — which means you must manufacture the pension yourself, and you have more freedom to do it well.

- **Build the pieces deliberately.** NPS (All Citizen model, or Corporate NPS if you run a company or LLP), PPF, and equity mutual funds together can replace EPF. Add APY only if you are not an income-tax payer, since taxpayers cannot join.
- **Use the tax provisions.** Your own NPS contribution is deductible up to 20% of gross total income within the Rs.1.5 lakh basket, and the extra Rs.50,000 under the NPS top-up is available on the old regime.
- **Automate against irregular income.** Set contributions to a comfortable base and top up in strong months. The failure mode for freelancers is not low income; it is irregular saving.
- **Hold a bigger buffer.** Twelve months of expenses, not six. Your income has no safety net behind it.
- **Consider Corporate NPS.** If you have incorporated, your own company can contribute to your NPS as an employer, unlocking the employer-contribution deduction.

The freelancer’s discipline

Every rupee an employer would have contributed for a salaried peer is money you must now contribute yourself. Treat the employer’s 12% as a standing personal bill, paid first, not last.

31. The five years before you retire

The decade from 50 to 60 is where a good plan is either protected or quietly wrecked. The job changes from growing the corpus to not losing it.

1. **Glide the equity down.** Move toward the 30-40% equity range. You are no longer recovering from a bad decade; you are protecting a finished one.

2. **Lock guaranteed income.** Plan the SCSS account for age 60, and use POMIS, NSC or short-duration debt for the years before it.
3. **Consolidate.** Transfer old EPF accounts to one UAN, close stray deposits, and gather every statement into one place.
4. **Decide the NPS exit.** Know whether you will take a lump sum, a systematic payout, or an annuity, and get the annuity quotes before you need them.
5. **Secure health cover.** Insurers scrutinise more after 55. Keep continuous cover and avoid a lapse.
6. **Hold 2-3 years of expenses in cash.** This is what stops a market fall from forcing you to sell investments at the worst time.
7. **Finish the paperwork.** Nomination on every account, and a current will.

32. Sequence-of-returns risk

Two retirees can earn the same average return over 25 years and end up in very different places, because the order of those returns matters once you are withdrawing. A sharp fall in the first few years of retirement, while you are also taking money out, does damage that later good years cannot fully undo.

The defence is structural, not predictive. Keep a cash bucket covering two to three years of expenses, so you never sell equities in a down market. Fund the essential base of your spending with guaranteed income — SCSS, POMIS and an annuity — and let the growth portion ride out the cycle. And when markets are strong, top up the cash bucket rather than increasing spending.

> **Why this is the retiree's real risk**
>
> Accumulation rewards the long run; withdrawal punishes the short one. The bucket approach costs a little return in good times and buys survival in bad ones — a trade most retirees should happily make.

33. Closing the women's retirement gap

Indian women face a structural retirement gap. They live longer, so the money has to last more years; they take more career breaks for caregiving; they often earn less; and they are more likely to have no income of their own in old age. The result is a smaller corpus funding a longer retirement.

- **Contribute in your own name.** A PPF, NPS or mutual-fund account in your own name is your asset, whatever happens to the household.
- **Keep retirement accounts alive through breaks.** A voluntary NPS contribution or a small PPF deposit keeps the clock running and the habit intact.
- **Plan a longer horizon.** If your retirement is likely to last 30 years, the 30x rule is the floor, not the ceiling.
- **Fix the defaults.** Make sure you are the nominee or joint holder where you should be, and that your own accounts nominate the right person.
- **Insure yourself.** Health and, where relevant, term cover in your own name.

None of this requires earning more than a partner; it requires owning a piece of the retirement in your own name. That single habit closes most of the gap.

34. Nomination, will and the paperwork that protects your money

A perfect portfolio with stale paperwork is a portfolio that may not reach your family. This is the cheapest, highest-return hour you will spend on retirement.

- **File e-nomination everywhere.** EPF (member portal), NPS (PRAN), PPF and other small savings, bank accounts and demat. A missing or wrong nomination is the most common reason claims are delayed.
- **Write a will.** Without one, succession follows personal law and can be slow or contested. A simple, witnessed, updated will is enough for most people.
- **Keep one ‘money file’.** A single sheet listing every account, the nominee, the institution and your adviser’s contact. Tell one trusted person where it is.
- **Know how NPS passes on.** A nominee can take the accumulated wealth as a lump sum or use it to buy an annuity; the lump sum is not taxed as the nominee’s income.
- **Review after every life event.** Marriage, a child, a death, a divorce or a job change should trigger a nomination and will review.

> **The one-hour task**
> If you do nothing else after reading this book, do this: log in to your EPF and NPS accounts today and confirm your nomination is current. It takes minutes and protects everything you have built.

Appendix A — Retirement readiness checklist

Tick these off. If you cannot tick most of them, you have a short, specific to-do list — which is far better than a vague worry.

- I know my target corpus (30x my inflation-adjusted annual expenses).
- I know my funding gap after EPF, NPS and existing assets.
- My UAN is active, my KYC is complete and my e-nomination is filed.
- I have checked my EPF passbook in the last year.
- I have an NPS Tier I account (or a clear reason for not having one).
- My NPS pension fund and equity category match my risk appetite.
- My monthly retirement investment is automated and rises with my salary.
- I have term life cover of 10-15x my annual income.
- I have health cover of at least Rs.10 lakh and an emergency fund of six months' expenses.
- I am building a separate late-life health fund.
- I have decided my tax regime deliberately, not by default.
- I understand my NPS exit rules and my EPS or UPS entitlement.
- My will and nominations are written and current.
- I review the whole plan once a year.

Appendix B — Glossary

APY — Atal Pension Yojana — a guaranteed-pension scheme for the unorganised sector, ages 18-40.

Annuity — A product that converts a lump sum into a guaranteed income for life, bought from an insurer.

ASP — Annuity Service Provider — an insurer empanelled by PFRDA to sell NPS annuities.

APW — Accumulated Pension Wealth — the total value of your NPS account.

CRA — Central Recordkeeping Agency — keeps NPS subscriber records (e.g. Protean, CAMS, KFintech).

EDLI — Employees' Deposit Linked Insurance — employer-funded life cover within EPFO; maximum benefit Rs.7,00,000.

EPF — Employees' Provident Fund — the mandatory salaried savings scheme.

EPS — Employees' Pension Scheme — the pension component funded from the employer's 8.33% share.

MSF — Multiple Scheme Framework — PFRDA's framework for persona-based NPS schemes, live since 1 Oct 2025.

NPS — National Pension System — the voluntary, market-linked pension scheme regulated by PFRDA.

PFRDA — Pension Fund Regulatory and Development Authority — the NPS regulator.

PRAN — Permanent Retirement Account Number — your lifelong NPS account number.

SCSS — Senior Citizens' Savings Scheme — a government-backed deposit for those aged 60+.

SLW / SUR — Systematic Lump Sum Withdrawal / Systematic Unit Redemption — staggered NPS payout options.

UPS — Unified Pension Scheme — an assured-pension option within NPS for central government employees.

Appendix C — Sources

Every rule, rate and date in this playbook is drawn from the following official and primary sources, accessed in October 2026.

- PFRDA — Exits and Withdrawals under the NPS Regulations, 2015 (as amended 20 July 2026); press release on key exit-regulation changes (19 December 2025); Multiple Scheme Framework circular; scheme-classification circular (28 August 2026); NPS Insights (April-July 2026); NPS All Citizen Model page; Annuity Service Providers page.
- PIB / Ministry of Finance — press release on key NPS exit-regulation amendments (19 December 2025); UPS press notes; FAQs on UPS.
- Department of Financial Services, Ministry of Finance — National Pension System and Atal Pension Yojana pages; APY contribution table.
- Ministry of Labour & Employment / EPFO — EPF wage-ceiling enhancement to Rs.25,000 (17 September 2026) and associated gazette notifications (25 September and 15 October 2026); EPFO FAQs on the revised wage ceiling; EPS higher-pension FAQs.
- PIB / Government of India — Cabinet approval of the EPFO wage-ceiling enhancement (16 September 2026); answers in Parliament on EPS and higher pension.
- Ministry of Finance, Department of Economic Affairs — quarterly small-savings interest-rate notifications (rates effective 1 October 2026).
- Income Tax Department — deductions guidance under the Income Tax Act, 2025 (Sections 123, 124); NPS deduction limits.
- Judgments reported in October 2026 — Bombay High Court (19 October 2026) on EPS higher pension and PF-trust rules; Punjab and Haryana High Court on the pro-rata method.

Appendix D — Quick-reference rate and rule card (2026-27)

A one-page summary of every number in this book. Rates change every quarter and rules are amended from time to time — confirm the current figure on the official portal before you act.

Item	Current position
EPF wage ceiling	Rs.25,000/month from 17 Sep 2026; employee 12%, employer 12% (8.33% to EPS, 3.67% to EPF)
EPS pension	Pensionable salary x service / 70; minimum Rs.1,000/month; government contribution capped at Rs.15,000 wages
EDLI cover	Maximum assurance benefit Rs.7,00,000
NPS eligibility	Indian citizens (resident / NRI / OCI), ages 18-85; HUFs and PIOs excluded
NPS tax	Section 123 (within Rs.1.5 lakh) plus Section 124(3) Rs.50,000 extra (old regime); employer contribution under 124(1)/(2)
NPS normal exit	Up to 80% lump sum and at least 20% annuity (non-government); 100% if corpus is Rs.8 lakh or less
NPS premature exit	Up to 20% lump sum and at least 80% annuity; 100% if corpus is Rs.5 lakh or less
NPS cost	Charges capped at 0.30% of AUM a year; Rs.200 one-time onboarding from 1 Oct 2026
NPS equity categories	A: 80-100%, B: 60-80%, C: 35-60%, D: 10-35%, E: 0-10%
UPS (central govt)	50% of last-12-month average basic pay after 25 years; Rs.10,000 minimum after 10 years; 60% family pension
Atal Pension Yojana	Ages 18-40; pension Rs.1,000-Rs.5,000/month; income-tax payers excluded since 1 Oct 2022
SCSS	8.2% a year, paid quarterly; Rs.1,000 to Rs.30 lakh per person; ages 60+ (55+ for specified retirees)
PPF / NSC / KVP / POMIS	7.1% / 7.7% / 7.5% / 7.4% for the Oct-Dec 2026 quarter
Annuities	Around 5.4%-7% a year across 15 PFRDA-empanelled providers (2026)
Corpus target	30x annual expenses at retirement (India rule)

Rates and rules change. Confirm the current figure on the official portal — pfrda.org.in, epfindia.gov.in, financialservices.gov.in and indiapost.gov.in — before you act.